

years next before the date of investment paid a dividend on its ordinary stock or shares."

Under this section, moneys in Court which have arisen from the purchase under the Lands Clauses Consolidation Act, 1845, of land belonging absolutely to a charity, have been invested in railway debenture stock (*a*).

13. Where under a will money was bequeathed to trustees in trust to lay it out in the purchase of real estate, to be settled in strict settlement, with a direction that until the purchase "the legacy should be invested in Government or real securities, but not in any other mode of investment," it was held that the trustees, on the direction of the tenant for life, might invest the legacy in debenture stock (*b*).]

14. **Investments on mortgage.** — With respect to investments upon *mortgage* Lord Harcourt said, "The case of an executor's laying out money without the indemnity of a decree, if it were on a *real security and one that there was no ground at the time to suspect*, had not been settled: but it was his opinion that the executor, under such circumstances, was not liable to account for the loss" (*c*). And Lord Hardwicke (*d*), and Lord Alvanley (*e*), appear likewise to have held that a trustee or executor would be justified in laying out the trust-fund upon well-secured *real estates*. But Lord Thurlow, upon application made to him to lay out on mortgage money belonging to a lunatic, observed, that "in *latter* times the Court had considered it as improper to invest any part of a lunatic's estate upon *private security*" (*f*). And Sir John Leach refused a similar application with reference to the money of infants, at the same time expressing his surprise that any precedent could have been produced to the contrary (*g*). Where there was no power of investing

[(*a*) *Re Byron's Charity*, 23 Ch. D. 171.]

[(*b*) *Re Mackenzie's Trusts*, 23 Ch. D. 750.]

(*c*) *Brown v. Litton*, 1 P. W. 141; and see *Lyse v. Kingdon*, 1 Coll. 188.

(*d*) *Knight v. Earl of Plymouth*, 1 Dick. 126.

(*e*) *Pocock v. Reddington*, 5 Ves. 800.

(*f*) *Ex parte Cathorpe*, 1 Cox, 182; *Ex parte Ellice*, Jac. 234.

(*g*) *Norbury v. Norbury*, 4 Mad. 191; and see *Widdowson v. Duck*, 2 Mer. 494; *Ex parte Ellice*, Jac. 234; *Ex parte Fust*, 1 C. P. Cooper T. Cott. 157, note (*e*); *Ex parte*